Customer Segmentation & Churn Analysis

Online Retail II (UK) · Dec 2009 – Dec 2011 · 5,852 customers grouped by RFM

Customer segments | New vs returning | Churn

Segment

All

Total Revenue
£16.82M

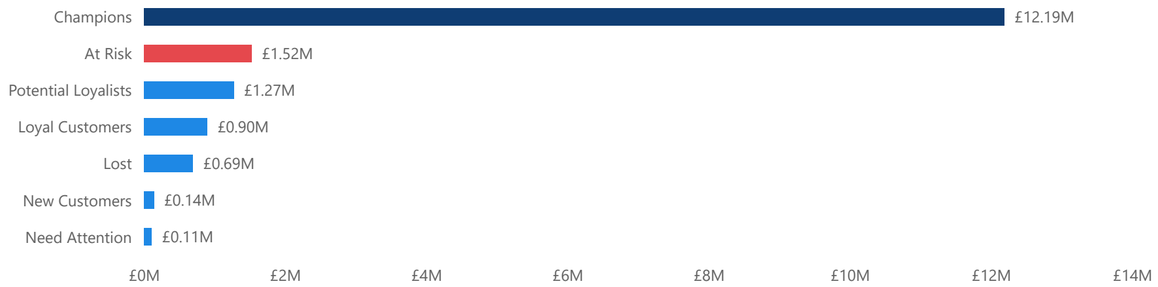
Customers
5,852

Avg Orders
6.3

Champions Share %
72.4%

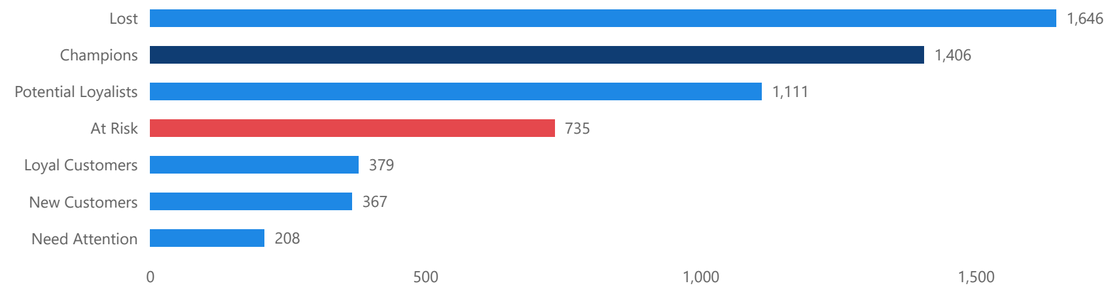
Revenue by segment

Champions bring in 72% of revenue



Customers by segment

Lost is the largest group, but brings only 4% of revenue



Segment summary

Who to protect and who to win back

Segment	Customers	Avg Recency	Avg Orders	Total Revenue	% of Revenue
Champions	1,406	25.8	16.7	£12,187,935.91	72.4%
At Risk	735	353.1	5.5	£1,523,695.37	9.1%
Potential Loyalists	1,111	35.2	3.3	£1,270,301.35	7.6%
Loyal Customers	379	131.3	6.7	£896,516.49	5.3%
Lost	1,646	451.3	1.3	£694,501.44	4.1%
New Customers	367	44.7	1.0	£139,314.05	0.8%
Need Attention	208	135.3	1.5	£110,650.16	0.7%

Customer Segmentation & Churn Analysis

Repeat purchases and new vs returning customers · Jan 2010 – Nov 2011

Customer segments | New vs returning | Churn

Repeat Rate
72.3%

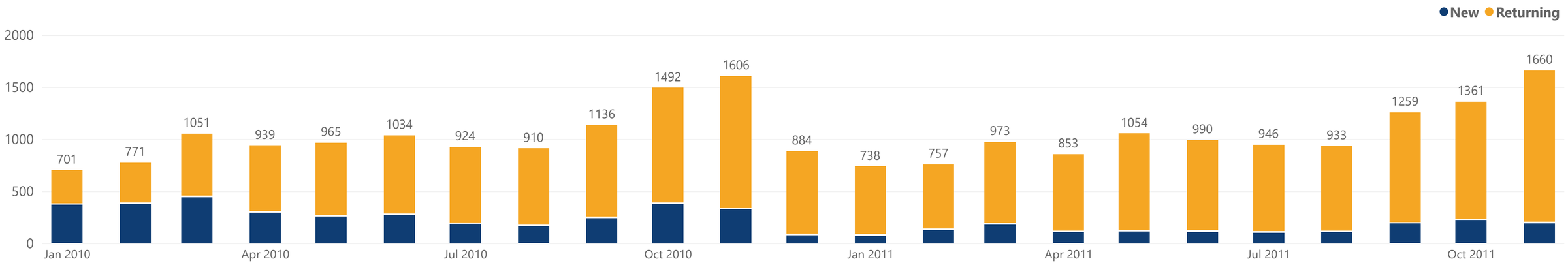
One-time Customers
1,619

New Customers/Month(2010)
299

New Customers/Month(2011)
137

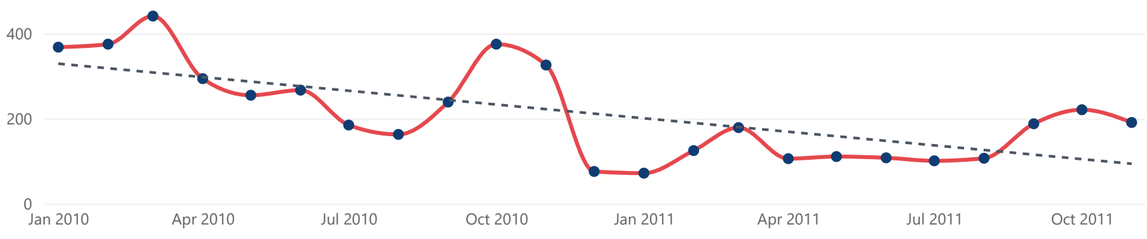
New vs returning customers per month

Returning customers drive the Oct–Nov peaks



New customers per month

Down from about 300 a month in 2010 to about 140 in 2011



Key Insights:

- 72.3% of customers bought more than once; only 1,619 were one-time buyers
- Returning customers bring in 82.5% of revenue
- New customers per month more than halved: 299 in 2010 vs 137 in 2011
- Oct–Nov is peak season every year, driven by returning customers

Customer Segmentation & Churn Analysis

Telco Customer Churn (IBM sample) · 7,043 customers · Why do customers leave?

Customer segments | New vs returning | Churn

Customer Type

All

Customers
7,043

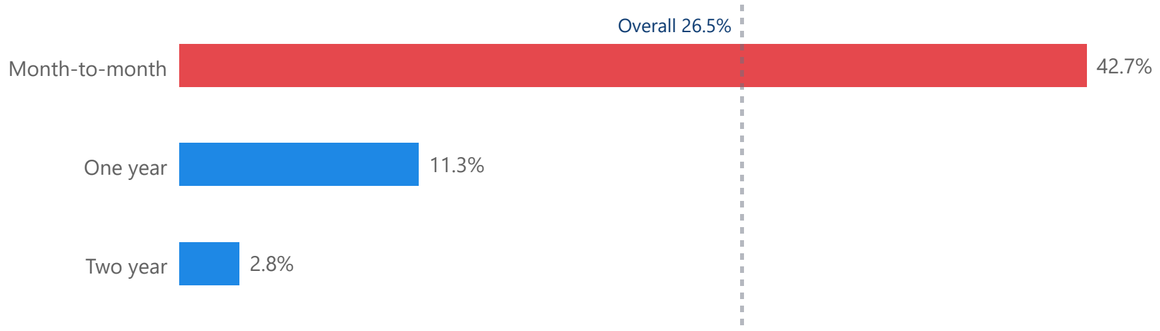
Churned Customers
1,869

Churn Rate
26.5%

Monthly Revenue Lost
$139K

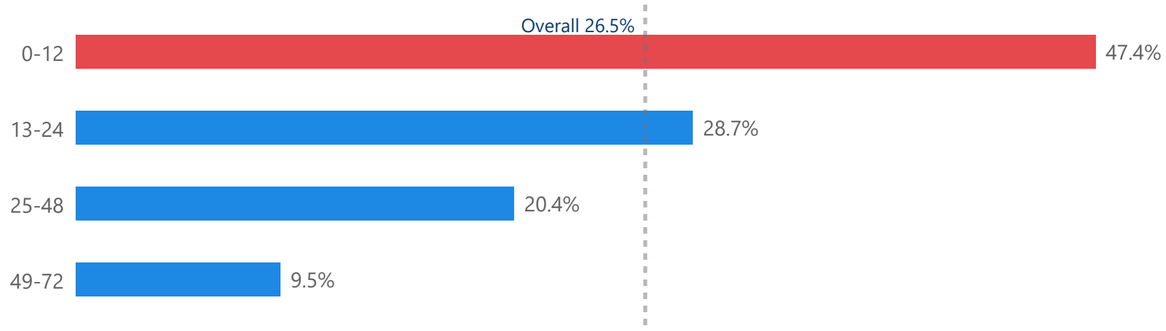
Churn rate by contract

Month-to-month customers churn 15× more than two-year



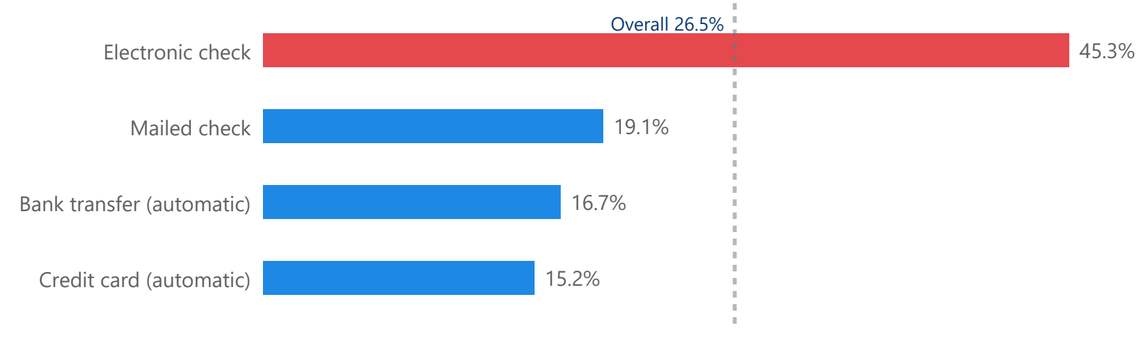
Churn rate by tenure (months)

Almost half of customers leave in their first year



Churn rate by payment method

Electronic check payers churn at 45%



Churn rate by internet service

Fibre optic churns at more than double DSL

